Sample Auto Insurance Policy

Document Type: Fictional Auto Insurance Policy
Policy Number: DEMO-12345
Policyholder: Alex Morgan
Vehicle: 2022 Example Sedan
Policy Period: January 1, 2026 – December 31, 2026

Note: This is a fictional document created for testing a RAG chatbot. It is not a real insurance contract.

1. Policy Overview

This sample policy describes illustrative auto insurance coverage for a private passenger vehicle. Coverage is subject to the terms, conditions, limits, and exclusions described in the policy.

The policy period begins on January 1, 2026, and ends on December 31, 2026.

2. Coverage Types

2.1 Liability Coverage

Liability coverage may pay for covered bodily injury or property damage that the insured driver causes to other people, subject to the policy terms and limits.

2.2 Collision Coverage

Collision coverage may pay for covered accidental damage to the insured vehicle following a collision, subject to the deductible and policy conditions.

2.3 Comprehensive Coverage

Comprehensive coverage may pay for covered non-collision events, including theft, fire, hail, and falling objects. Actual coverage depends on the policy terms.

3. Coverage Limits and Deductibles

The following amounts are fictional examples for chatbot testing:

- Bodily injury liability: $100,000 per person.
- Bodily injury liability: $300,000 per accident.
- Property damage liability: $50,000 per accident.
- Collision deductible: $500.
- Comprehensive deductible: $250.

A deductible is the amount the policyholder may need to pay toward a covered claim before the insurer pays the remaining eligible amount.

4. Policy Exclusions

This sample policy excludes the following situations:

- Intentional damage caused by the policyholder.
- Ordinary wear and tear.
- Mechanical breakdown unrelated to a covered event.
- Damage arising from the use of the vehicle for paid racing.

A real insurance policy may have different exclusions and conditions.

5. How to Report an Accident

If an accident occurs, the driver should:

1. Move to a safe location if possible.
2. Contact emergency services if necessary.
3. Notify the insurance company promptly.
4. Record the date, time, and location of the accident.
5. Provide a description of the incident.
6. Share photographs and supporting documents when available.

The insurer may request additional information before determining whether the claim is covered.

6. Frequently Asked Questions

Q1. What is the collision deductible?
The collision deductible in this fictional sample is $500.

Q2. Does comprehensive coverage include theft?
It may cover theft, subject to the policy terms and conditions.

Q3. When does the policy expire?
The sample policy expires on December 31, 2026.

Q4. Is mechanical breakdown covered?
Mechanical breakdown unrelated to a covered event is excluded in this example.

Q5. What is the property damage liability limit?
The fictional property damage liability limit is $50,000 per accident.

Q6. What should the policyholder do after an accident?
The policyholder should get to safety, contact emergency services if needed, notify the insurer, and provide relevant incident details and supporting documents.

7. Important Disclaimer

This document is fictional and is intended only for software development and testing. It does not represent an actual insurance policy, guarantee coverage, or provide insurance or legal advice.